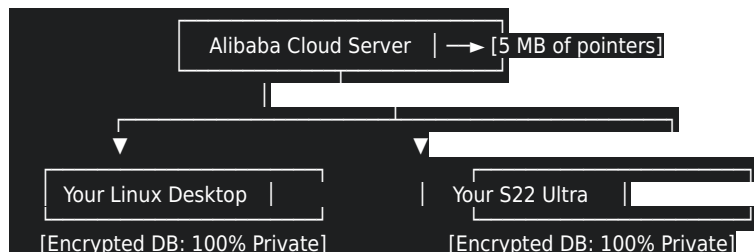


explain this to me in simpler terms and a shorter description.

Here is a simpler and shorter breakdown of the network's data structure and the rewards process.

1. Data Storage (Where it Lives)

To keep the system completely decentralized, the 100,000 users are split into **infrastructure** and **regular devices**.



- **Your Server (Infrastructure):** Doesn't store messages. It acts as the operator's private "phonebook," only holding about 5 MB of **tiny cryptographic pointers** to help devices find each other.
 - **Your Devices (The Users):** Your private messages and data are stored **only** on the devices involved. They are kept in a local, encrypted database file (identity_v1.db) on your Linux desktop and S22 Ultra.
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2. Collecting and Distributing Rewards

To reward users fairly without trusting a central authority, the system uses a **Proof-and-Claim** model.

How Activity is Tracked

Instead of guessing who is online, devices prove their work:

- **Uptime:** Devices send signed "I am online" digital notes (heartbeats) to their closest network neighbors every 5 minutes.
- **Work:** If Device A routes data for Device B, both devices sign a digital receipt of the work done.

The 24-Hour Reward Cycle

To prevent the server from crashing under heavy computation, reward math is calculated once a day:

1. **Observe (24 Hours):** Devices simply collect and store receipts in the background without calculating anything.
2. **Calculate (Off-Peak):** At 3:00 AM, the server pulls the daily summary from the network, runs the math, and rolls all 100,000 payouts into a single cryptographic summary called a **Merkle Root**.
3. **Claim:** The server publishes that tiny summary. When a user opens their app, the device matches its local receipts against the summary to safely **claim** its own reward.

This keeps the server fast, secure, and extremely cheap to run.